

Binance Alpha Strategy

15-Minute Narrative for Non-Traders

- **Objective:** turn model signals into durable, tradable PnL
- **Flow:** alpha generation -> net-neutral allocation -> backtest/live alignment
- **Decision standard:** execution realism over offline model vanity

1. Problem Frame

- Crypto returns mix **beta** (market-wide move) and **alpha** (asset-specific edge)
- Single-asset direction strategies are often overwhelmed by macro beta noise
- We target repeatable short-horizon alpha extraction, not perfect market direction calls
- Final scorecard is portfolio behavior: PnL stability, drawdown control, and Sharpe

Takeaway: We monetize alpha consistency, not directional prediction heroics.

2. How We Build Alpha

- **Features:** price path, spread, liquidity/volume, OI, and funding context
- **Labels:** forward return targets plus beta-adjusted residual return
- **Model output:** per-coin `pred` score ranking long/short opportunity quality
- **Validation:** higher-ranked signals must convert into higher realized side-adjusted returns

Takeaway: Alpha quality is proven only when ranking survives out-of-sample realization.

3. From Scores to Portfolio

- Raw predictions are converted into constrained, executable positions
- At each timestamp, we take high-score longs and low-score shorts simultaneously
- `net exposure  $\approx$  0` suppresses broad market direction dependence
- Optimization maximizes aggregate quality under turnover and risk constraints

Takeaway: Portfolio construction is the bridge between prediction and tradable edge.

4. Backtest Philosophy

- We optimize for realizable PnL, not just statistical fit
- Evaluation uses side-adjusted long/short outcomes, not one-sided hit rate
- Trading frictions are explicit: fees, slippage proxies, and turnover penalties
- Any signal that collapses post-cost is treated as non-production alpha

Takeaway: If it does not survive costs, it is not alpha.

5. Calibration Loop (Backtest vs Live)

alpha signal -> net-neutral construction -> execution-aware
backtest -> live comparison -> assumption recalibration

- Monitor cumulative PnL path, divergence gap, and cost sensitivity by regime
- Refit fill/cost assumptions whenever backtest-live spread widens
- Target a conservative but faithful simulation of live deployment behavior

Takeaway: The strategy matures through closing the backtest-live gap.

6. Why Multi-Coin Beats BTC-Only

- BTC-only books are highly exposed to macro beta shocks
- Cross-sectional portfolios diversify idiosyncratic noise and execution randomness
- The same alpha logic becomes materially more stable as the tradable universe expands
- In practice, Sharpe tends to improve from single-asset to broad-universe deployment

Takeaway: Diversification is a performance engine, not just risk control.

7. Final Message

- This is not a one-coin direction predictor
- It is an operating system: alpha engine + neutral allocator + calibrated simulation
- Production bar 1: high-quality signals must convert into realized PnL
- Production bar 2: backtest and live PnL must remain structurally aligned over time

Takeaway: Reliable trading comes from system coherence, not a single model.